Houzd Mortgage Review

Calculation notes · October 30, 2026

> **If you want this more user-friendly, or you want these changes applied, I can do that.**

POTENTIAL PROBLEMS

1. Rent vs. own counts maintenance twice, and the chart can disagree with the headline.
2. HELOC cost is only the draw; refi cost is interest on the whole loan, so savings look too big.
3. When a bridge pays off the first mortgage, the HELOC option still charges that mortgage too.
4. Financed construction interest is added during the build, then dropped from the permanent loan.
5. If a build costs more than the appraisal, the loan is not capped and can exceed the value.
6. A renovation with little equity can pay off the mortgage and still not fund the remodel.
7. Percent-of-loan fees, including the default title policy, calculate as $0 outside Standard.
8. Prepaids are calculated in Standard only; buydown, cash-out, and refi leave them out of cash due.
9. Turning off “finance the upfront fee” drops the FHA, VA, or USDA fee from the loan and cash due.
10. Standard mode treats all FHA mortgage insurance as life-of-loan and skips the HUD term and LTV rules.
11. An ARM worst case jumps to the lifetime cap at the first reset, and the periodic cap is never used.
12. A 5/6 ARM and a 5/1 ARM calculate the same, and the worst-case label shows the cap, not the rate.
13. A cash-out debt that cannot pay itself off counts as $0 interest, and the two timelines do not match.
14. Rent vs. own freezes taxes, insurance, HOA, and PMI while rent rises, and skips closing costs.
15. Scenarios B and C show $10,000 and $14,000 in costs, but the fee sheet makes all three the same.
16. “Net position” is the same number as equity: home value minus the loan balance.
17. FHA “total of payments” includes the down payment, closing costs, taxes, insurance, and HOA.
18. The screen says PMI drops at 78%, but the math uses the cutoff field, which defaults to 80%.
19. Per diem and percent-based fees in Standard use the base loan, not the loan with upfront MIP.
20. Seller credits cannot go below the down payment, and any extra credit disappears with no warning.
21. A bridge covers the down payment only, and an extension is a fixed guess of 3 months plus 1.5 points.
22. Refi break-even divides closing costs by the savings even when those costs are rolled into the loan.
23. Biweekly payoff charges interest 26 times a year at the annual rate divided by 26, not monthly.
24. The AI summary crashes on ARM vs. Fixed and Rent vs. Own, then says it could not connect.
25. The HELOC AI summary repeats the same overstated savings figure as the headline.

Review only. Nothing in the calculator has been changed.